

1 ENGROSSED SENATE
2 BILL NO. 1193

By: Pugh of the Senate

3 and

4 Moore of the House

5
6 An Act relating to school funding; amending 70 O.S.
7 2021, Section 18-200.1, as last amended by Section 2,
8 Chapter 285, O.S.L. 2025 (70 O.S. Supp. 2025, Section
9 18-200.1), which relates to State Aid; removing
10 limitations on school district general fund
11 carryover, method for calculating carryover amount,
and penalties for exceeding limitations; updating
statutory language; repealing 70 O.S. 2021, Section
18-200.1, as amended by Section 1, Chapter 488,
O.S.L. 2021, which relates to State Aid; providing an
effective date; and declaring an emergency.

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14 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

15 SECTION 1. AMENDATORY 70 O.S. 2021, Section 18-200.1, as
16 last amended by Section 2, Chapter 285, O.S.L. 2025 (70 O.S. Supp.
17 2025, Section 18-200.1), is amended to read as follows:

18 Section 18-200.1. A. Beginning with the 2022-2023 school year,
19 and each school year thereafter, each school district shall have its
20 initial allocation of State Aid calculated based on the state
21 dedicated revenues actually collected during the preceding fiscal
22 year, the adjusted assessed valuation of the preceding year, and the
23 weighted average daily membership for the school district of the
24 preceding school year. Each school district shall submit the

1 following data based on the first nine (9) weeks, to be used in the
2 calculation of the average daily membership of the school district:

- 3 1. Student enrollment by grade level;
- 4 2. Pupil category counts; and
- 5 3. Transportation supplement data.

6 On or before December 30, the State Department of Education
7 shall determine each school district's current year allocation
8 pursuant to subsection D of this section. The State Department of
9 Education shall complete an audit, using procedures established by
10 the Department, of the student enrollment by grade level data, pupil
11 category counts, and transportation supplement data to be used in
12 the State Aid Formula pursuant to subsection D of this section by
13 December 1 and by January 15 shall notify each school district of
14 the district's final State Aid allocation for the current school
15 year. The January payment of State Aid and each subsequent payment
16 for the remainder of the school year shall be based on the final
17 State Aid allocation as calculated in subsection D of this section.
18 Except for reductions made due to the assessment of penalties by the
19 State Department of Education according to law, the January payment
20 of State Aid and each subsequent payment for the remainder of the
21 school year shall not decrease by an amount more than the amount
22 that the current chargeable revenue increases for that district.

23 B. The State Department of Education shall retain not less than
24 one and one-half percent (1 1/2%) of the total funds appropriated

1 for financial support of schools, to be used to make midyear
2 adjustments in State Aid and which shall be reflected in the final
3 allocations. If the amount of appropriated funds, including the one
4 and one-half percent (1 1/2%) retained, remaining after January 1 of
5 each year is not sufficient to fully fund the final allocations, the
6 Department shall recalculate each school district's remaining
7 allocation pursuant to subsection D of this section using the
8 reduced amount of appropriated funds.

9 C. On and after July 1, 1997, the amount of State Aid each
10 district shall receive shall be the sum of the Foundation Aid, the
11 Salary Incentive Aid, and the Transportation Supplement, as adjusted
12 pursuant to the provisions of Section 18-112.2 of this title;
13 provided, no district having per pupil revenue in excess of three
14 hundred percent (300%) of the average per pupil revenue of all
15 districts shall receive any State Aid or Supplement in State Aid.

16 The July calculation of per pupil revenue shall be determined by
17 dividing the district's second preceding year's total weighted
18 average daily membership (ADM) into the district's second preceding
19 year's total revenues excluding federal revenue, insurance loss
20 payments, reimbursements, recovery of overpayments and refunds,
21 unused reserves, prior expenditures recovered, prior year surpluses,
22 and less the amount of any transfer fees paid in that year.

23 The December calculation of per pupil revenue shall be
24 determined by dividing the district's preceding year's total

1 weighted average daily membership (ADM) into the district's
2 preceding year's total revenues excluding federal revenue, insurance
3 loss payments, reimbursements, recovery of overpayments and refunds,
4 unused reserves, prior expenditures recovered, prior year surpluses,
5 and less the amount of any transfer fees paid in that year.

6 D. For the 1997-98 school year, and each school year
7 thereafter, Foundation Aid, the Transportation Supplement, and
8 Salary Incentive Aid shall be calculated as follows:

9 1. Foundation Aid shall be determined by subtracting the amount
10 of the Foundation Program Income from the cost of the Foundation
11 Program and adding to this difference the Transportation Supplement.

12 a. The Foundation Program shall be a district's higher
13 weighted average daily membership based on the first
14 nine (9) weeks of the current school year or the
15 preceding school year of a school district, as
16 determined by the provisions of subsection A of
17 Section 18-201.1 of this title and paragraphs 1, 2, 3,
18 and 4 of subsection B of Section 18-201.1 of this
19 title, multiplied by the Base Foundation Support
20 Level.

21 b. The Foundation Program Income shall be the sum of the
22 following:

23 (1) the adjusted assessed valuation of the current
24 school year of the school district, minus the

1 previous year protested ad valorem tax revenues
2 held as prescribed in Section 2884 of Title 68 of
3 the Oklahoma Statutes, multiplied by the mills
4 levied pursuant to subsection (c) of Section 9 of
5 Article X of the Oklahoma Constitution, if
6 applicable, as adjusted in subsection (c) of
7 Section 8A of Article X of the Oklahoma
8 Constitution. For purposes of this subsection,
9 the "adjusted assessed valuation of the current
10 school year" shall be the adjusted assessed
11 valuation on which tax revenues are collected
12 during the current school year,

13 (2) seventy-five percent (75%) of the amount received
14 by the school district from the proceeds of the
15 county levy during the preceding fiscal year, as
16 levied pursuant to subsection (b) of Section 9 of
17 Article X of the Oklahoma Constitution,

18 (3) motor vehicle collections,

19 (4) gross production tax,

20 (5) state apportionment, and

21 (6) R.E.A. tax.

22 The items listed in divisions (3), (4), (5), and (6) of
23 this subparagraph shall consist of the amounts actually
24 collected from such sources during the preceding fiscal

year calculated on a per capita basis on the unit provided
for by law for the distribution of each such revenue.

2. The Transportation Supplement shall be equal to the average
daily haul times the per capita allowance times the appropriate
transportation factor.

a. The average daily haul shall be the number of children
in a district who are legally transported and who live
one and one-half (1 1/2) miles or more from school.

b. The per capita allowance shall be determined using the
following chart:

PER CAPITA		PER CAPITA	
DENSITY FIGURE	ALLOWANCE	DENSITY FIGURE	ALLOWANCE
.3000 - .3083	\$167.00	.9334 - .9599	\$99.00
.3084 - .3249	\$165.00	.9600 - .9866	\$97.00
.3250 - .3416	\$163.00	.9867 - 1.1071	\$95.00
.3417 - .3583	\$161.00	1.1072 - 1.3214	\$92.00
.3584 - .3749	\$158.00	1.3215 - 1.5357	\$90.00
.3750 - .3916	\$156.00	1.5358 - 1.7499	\$88.00
.3917 - .4083	\$154.00	1.7500 - 1.9642	\$86.00
.4084 - .4249	\$152.00	1.9643 - 2.1785	\$84.00
.4250 - .4416	\$150.00	2.1786 - 2.3928	\$81.00
.4417 - .4583	\$147.00	2.3929 - 2.6249	\$79.00
.4584 - .4749	\$145.00	2.6250 - 2.8749	\$77.00
.4750 - .4916	\$143.00	2.8750 - 3.1249	\$75.00

1	.4917 - .5083	\$141.00	3.1250 - 3.3749	\$73.00
2	.5084 - .5249	\$139.00	3.3750 - 3.6666	\$70.00
3	.5250 - .5416	\$136.00	3.6667 - 3.9999	\$68.00
4	.5417 - .5583	\$134.00	4.0000 - 4.3333	\$66.00
5	.5584 - .5749	\$132.00	4.3334 - 4.6666	\$64.00
6	.5750 - .5916	\$130.00	4.6667 - 4.9999	\$62.00
7	.5917 - .6133	\$128.00	5.0000 - 5.5000	\$59.00
8	.6134 - .6399	\$125.00	5.5001 - 6.0000	\$57.00
9	.6400 - .6666	\$123.00	6.0001 - 6.5000	\$55.00
10	.6667 - .6933	\$121.00	6.5001 - 7.0000	\$53.00
11	.6934 - .7199	\$119.00	7.0001 - 7.3333	\$51.00
12	.7200 - .7466	\$117.00	7.3334 - 7.6667	\$48.00
13	.7467 - .7733	\$114.00	7.6668 - 8.0000	\$46.00
14	.7734 - .7999	\$112.00	8.0001 - 8.3333	\$44.00
15	.8000 - .8266	\$110.00	8.3334 - 8.6667	\$42.00
16	.8267 - .8533	\$108.00	8.6668 - 9.0000	\$40.00
17	.8534 - .8799	\$106.00	9.0001 - 9.3333	\$37.00
18	.8800 - .9066	\$103.00	9.3334 - 9.6667	\$35.00
19	.9067 - .9333	\$101.00	9.6668 or more	\$33.00

20 c. The formula transportation factor shall be 2.0.

21 3. Salary Incentive Aid shall be determined as follows:

22 a. Multiply the Incentive Aid guarantee by the district's
23 higher weighted average daily membership based on the
24 first nine (9) weeks of the current school year or the

1 preceding school year of a school district, as
2 determined by the provisions of subsection A of
3 Section 18-201.1 of this title and paragraphs 1, 2, 3,
4 and 4 of subsection B of Section 18-201.1 of this
5 title.

6 b. Divide the district's adjusted assessed valuation of
7 the current school year minus the previous year's
8 protested ad valorem tax revenues held as prescribed
9 in Section 2884 of Title 68 of the Oklahoma Statutes,
10 by one thousand (1,000) and subtract the quotient from
11 the product of subparagraph a of this paragraph. The
12 remainder shall not be less than zero (0).

13 c. Multiply the number of mills levied for general fund
14 purposes above the fifteen (15) mills required to
15 support Foundation Aid pursuant to division (1) of
16 subparagraph b of paragraph 1 of this subsection, not
17 including the county four-mill levy, by the remainder
18 of subparagraph b of this paragraph. The product
19 shall be the Salary Incentive Aid of the district.

20 E. By June 30, 1998, the State Department of Education shall
21 develop and the Department and all school districts shall have
22 implemented a student identification system which is consistent with
23 the provisions of subsections D and E of Section 3111 of Title 74 of
24 the Oklahoma Statutes. The student identification system shall be

1 used specifically for the purpose of reporting enrollment data by
2 school sites and by school districts, the administration of the
3 Oklahoma School Testing Program Act, the collection of appropriate
4 and necessary data pursuant to the Oklahoma Educational Indicators
5 Program, determining student enrollment, establishing a student
6 mobility rate, allocation of the State Aid Formula, and midyear
7 adjustments in funding for student growth. This enrollment data
8 shall be submitted to the State Department of Education in
9 accordance with rules promulgated by the State Board of Education.
10 Funding for the development, implementation, personnel training, and
11 maintenance of the student identification system shall be set out in
12 a separate line item in the allocation section of the appropriation
13 bill for the State Board of Education for each year.

14 F. 1. In the event that ad valorem taxes of a school district
15 are determined to be uncollectible because of bankruptcy, clerical
16 error, or a successful tax protest, and the amount of such taxes
17 deemed uncollectible exceeds Fifty Thousand Dollars (\$50,000.00) or
18 an amount greater than twenty-five percent (25%) of ad valorem taxes
19 per tax year, or the valuation of a district is lowered by order of
20 the State Board of Equalization, the school district's State Aid,
21 for the school year that such ad valorem taxes are calculated in the
22 State Aid Formula, shall be determined by subtracting the net
23 assessed valuation of the property upon which taxes were deemed
24 uncollectible from the assessed valuation of the school district and

1 the state. Upon request of the local board of education, it shall
2 be the duty of the county assessor to certify to the Director of
3 Finance of the State Department of Education the net assessed
4 valuation of the property upon which taxes were determined
5 uncollectible.

6 2. In the event that the amount of funds a school district
7 receives for reimbursement from the Ad Valorem Reimbursement Fund is
8 less than the amount of funds claimed for reimbursement by the
9 school district due to insufficiency of funds as provided in Section
10 193 of Title 62 of the Oklahoma Statutes, then the school district's
11 assessed valuation for the school year that such ad valorem
12 reimbursement is calculated in the State Aid Formula shall be
13 adjusted accordingly.

14 G. ~~1. Notwithstanding the provisions of Section 18-112.2 of~~
15 ~~this title, a school district shall have its State Aid reduced by an~~
16 ~~amount equal to the amount of carryover in the general fund of the~~
17 ~~district as of June 30 of the preceding fiscal year, that is in~~
18 ~~excess of the following standards for two (2) consecutive years:~~

19	Total Amount of _____	Amount of _____
20	General Fund Collections, _____	General Fund _____
21	Excluding Previous Year _____	Balance _____
22	Cash Surplus as of June 30 _____	Allowable _____
23	Less than \$1,000,000 _____	48%
24	\$1,000,000 — \$2,999,999 _____	42%

1	\$3,000,000 — \$3,999,999	36%
2	\$4,000,000 — \$4,999,999	30%
3	\$5,000,000 — \$5,999,999	24%
4	\$6,000,000 — \$7,999,999	22%
5	\$8,000,000 — \$9,999,999	19%
6	—\$10,000,000 or more	17%

7 ~~2. By February 1 the State Department of Education shall send~~
 8 ~~by certified mail, with return receipt requested, to each school~~
 9 ~~district superintendent, auditor, and regional accreditation officer~~
 10 ~~a notice of and calculation sheet reflecting the general fund~~
 11 ~~balance penalty to be assessed against that school district.~~
 12 ~~Calculation of the general fund balance penalty shall not include~~
 13 ~~federal revenue. Within thirty (30) days of receipt of this written~~
 14 ~~notice the school district shall submit to the Department a written~~
 15 ~~reply either accepting or protesting the penalty to be assessed~~
 16 ~~against the district. If protesting, the school district shall~~
 17 ~~submit with its reply the reasons for rejecting the calculations and~~
 18 ~~documentation supporting those reasons. The Department shall review~~
 19 ~~all school district penalty protest documentation and notify each~~
 20 ~~district by March 15 of its finding and the final penalty to be~~
 21 ~~assessed to each district. General fund balance penalties shall be~~
 22 ~~assessed to all school districts by April 1.~~

23 ~~3. Any school district which receives proceeds from a tax~~
 24 ~~settlement or a Federal Emergency Management Agency settlement~~

1 ~~during the last two (2) months of the preceding fiscal year shall be~~
2 ~~exempt from the penalties assessed in this subsection, if the~~
3 ~~penalty would occur solely as a result of receiving funds from the~~
4 ~~tax settlement.~~

5 ~~4. Any school district which receives an increase in State Aid~~
6 ~~because of a change in Foundation and/or Salary Incentive Aid~~
7 ~~factors during the last two (2) months of the preceding fiscal year~~
8 ~~shall be exempt from the penalties assessed in this subsection, if~~
9 ~~the penalty would occur solely as a result of receiving funds from~~
10 ~~the increase in State Aid.~~

11 ~~5. If a school district does not receive Foundation and/or~~
12 ~~Salary Incentive Aid during the preceding fiscal year, the State~~
13 ~~Board of Education may waive the penalty assessed in this subsection~~
14 ~~if the penalty would result in a loss of more than forty percent~~
15 ~~(40%) of the remaining State Aid to be allocated to the school~~
16 ~~district between April 1 and the remainder of the school year and if~~
17 ~~the Board determines the penalty will cause the school district not~~
18 ~~to meet remaining financial obligations.~~

19 ~~6. Any school district which receives gross production revenue~~
20 ~~apportionment during the 2002-2003 school year or in any subsequent~~
21 ~~school year that is greater than the gross production revenue~~
22 ~~apportionment of the preceding school year shall be exempt from the~~
23 ~~penalty assessed in this subsection, if the penalty would occur~~
24

~~solely as a result of the gross production revenue apportionment, as determined by the State Board of Education.~~

~~7. Beginning July 1, 2003, school districts that participate in consolidation or annexation pursuant to the provisions of the Oklahoma School Consolidation and Annexation Act shall be exempt from the penalty assessed in this subsection for the school year in which the consolidation or annexation occurs and for the next three (3) fiscal years.~~

~~8. Any school district which receives proceeds from a sales tax levied by a municipality pursuant to Section 22-159 of Title 11 of the Oklahoma Statutes or proceeds from a sales tax levied by a county pursuant to Section 1370 of Title 68 of the Oklahoma Statutes during the 2003-2004 school year or the 2004-2005 school year shall be exempt from the penalties assessed in this subsection, if the penalty would occur solely as a result of receiving funds from the sales tax levy.~~

~~9. Any school district which has an amount of carryover in the general fund of the district in excess of the limits established in paragraph 1 of this subsection during the fiscal years beginning July 1, 2020, July 1, 2021, July 1, 2022, July 1, 2023, and July 1, 2024, shall not be assessed a general fund balance penalty as provided for in this subsection.~~

1 ~~10. For purposes of calculating the general fund balance~~
2 ~~penalty, the terms "carryover" and "general fund balance" shall not~~
3 ~~include federal revenue.~~

4 ~~H.~~ In order to provide startup funds for the implementation of
5 early childhood programs, State Aid may be advanced to school
6 districts that initially start early childhood instruction at a
7 school site. School districts that desire such advanced funding
8 shall make application to the State Department of Education no later
9 than September 15 of each year and advanced funding shall be awarded
10 to the approved districts no later than October 30. The advanced
11 funding shall not exceed the per pupil amount of State Aid as
12 calculated in subsection D of this section per anticipated Head
13 Start eligible student. The total amount of advanced funding shall
14 be proportionately reduced from the monthly payments of the
15 district's State Aid payments during the last six (6) months of the
16 same fiscal year.

17 ~~H.~~ H. 1. Beginning July 1, 1996, the Oklahoma Tax Commission,
18 notwithstanding any provision of law to the contrary, shall report
19 monthly to the State Department of Education the monthly
20 apportionment of the following information:

- 21 a. the assessed valuation of property,
- 22 b. motor vehicle collections,
- 23 c. R.E.A. tax collected, and
- 24 d. gross productions tax collected.

1 2. Beginning July 1, 1997, the ~~State Auditor and Inspector's~~
2 Office of the State Auditor and Inspector, notwithstanding any
3 provision of law to the contrary, shall report monthly to the State
4 Department of Education the monthly apportionment of the proceeds of
5 the county levy.

6 3. Beginning July 1, 1996, the Commissioners of the Land
7 Office, notwithstanding any provision of law to the contrary, shall
8 report monthly to the State Department of Education the monthly
9 apportionment of state apportionment.

10 4. Beginning July 1, 1997, the county treasurers' offices,
11 notwithstanding any provision of law to the contrary, shall report
12 monthly to the State Department of Education the ad valorem tax
13 protest amounts for each county.

14 5. The information reported by the Tax Commission, the ~~State~~
15 ~~Auditor and Inspector's~~ Office of the State Auditor and Inspector,
16 the county treasurers' offices, and the Commissioners of the Land
17 Office, pursuant to this subsection shall be reported by a school
18 district on forms developed by the State Department of Education.

19 SECTION 2. REPEALER 70 O.S. 2021, Section 18-200.1, as
20 amended by Section 1, Chapter 488, O.S.L. 2021, is hereby repealed.

21 SECTION 3. This act shall become effective July 1, 2026.

22 SECTION 4. It being immediately necessary for the preservation
23 of the public peace, health, or safety, an emergency is hereby
24

1 declared to exist, by reason whereof this act shall take effect and
2 be in full force from and after its passage and approval.

3 Passed the Senate the 17th day of March, 2026.

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Presiding Officer of the Senate

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7 Passed the House of Representatives the ____ day of _____,
8 2026.

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Presiding Officer of the House
of Representatives

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